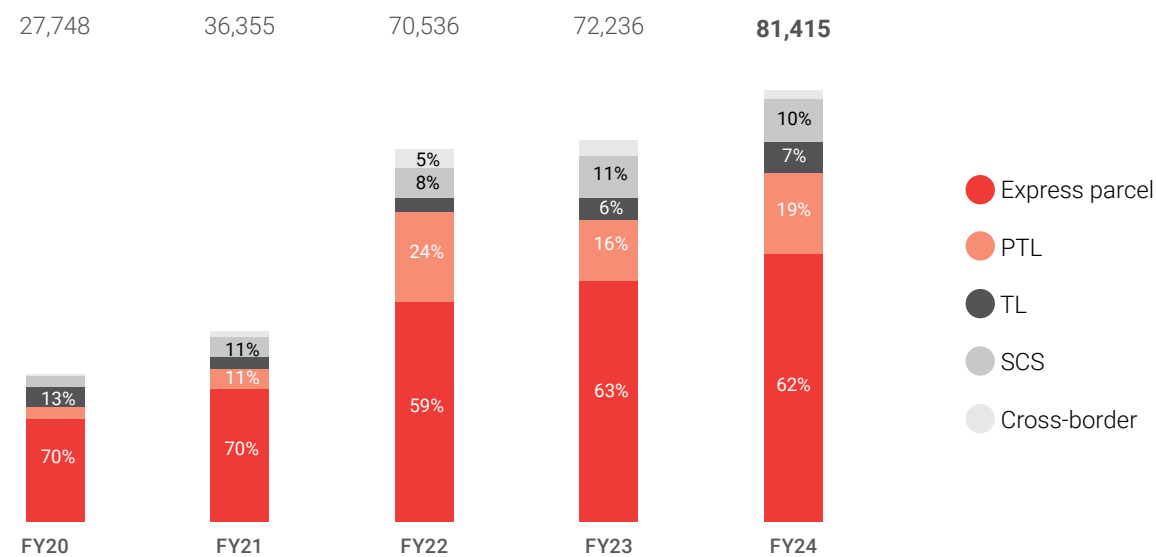


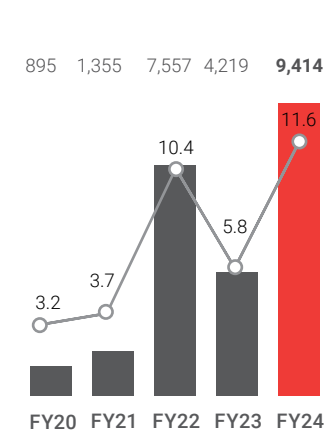


Financial Performance

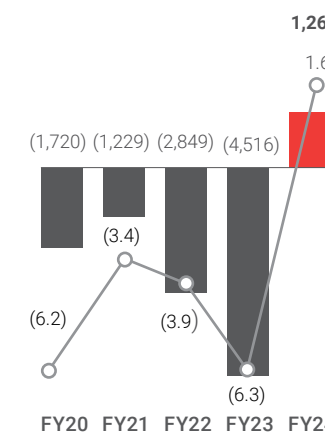
Revenue from services* (₹ million)



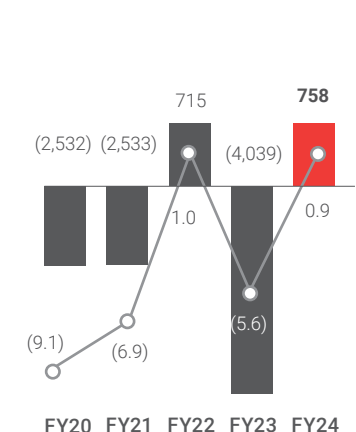
Service EBITDA (₹ million) and Service EBITDA margin (%)*



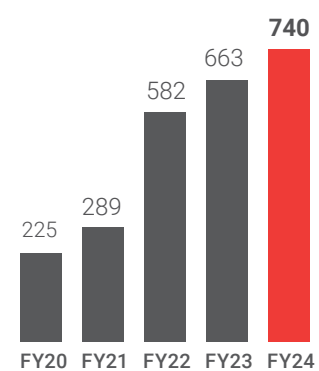
EBITDA (₹ million) and EBITDA margin (%)*



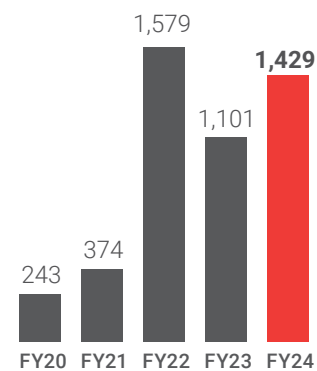
Adjusted EBITDA (₹ million) and adjusted EBITDA margin (%)*



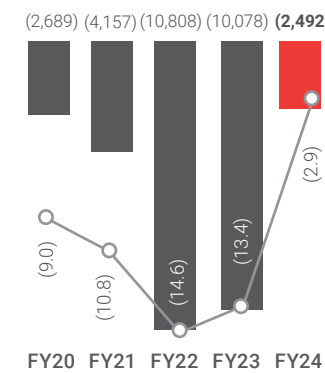
Express parcel shipment volume (million)



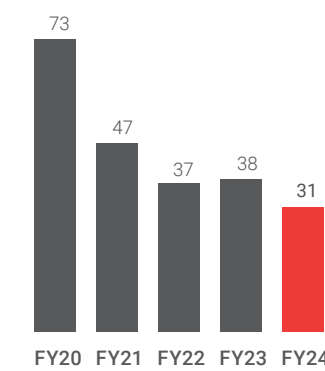
Part-truckload tonnage* (thousand tonnes)



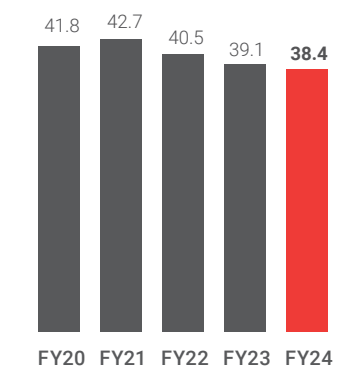
Profit after tax (₹ million) (%)*



Net working capital days



Contribution of top-five customers to the overall business (%)



* FY22 is on a pro forma basis



Directors' Report

Dear Members,
Delhivery Limited ("Company"/"Delhivery")

The Board of Directors ("**the Board**") present the 13th Annual Report of your Company along with the Audited Financial Statements for the financial year ("**FY**") ended March 31, 2024 (hereinafter referred as "**FY24**" or "**during the year**").

Financial Performance

Key highlights of the financial performance of your Company for the FY24 are as under:

Particulars	Standalone – FY ended		Consolidated – FY ended	
	March 31, 2024	March 31, 2023	March 31, 2024	March 31, 2023
Revenue from Operations	74,540.82	66,586.61	81,415.38	72,253.01
Other Income	4,753.49	3,311.74	4,526.96	3,049.48
Total Income	79,294.31	69,898.35	85,942.34	75,302.49
Less: Total expenses	80,235.00	77,908.26	88,249.67	85,968.83
Loss before exceptional items, share of profit of an associate and tax	(940.69)	(8,009.91)	(2,307.33)	(10,666.34)
Less: Exceptional Items	738.99	113.11	224.10	-
Loss before tax and share of profit of associate	(1,679.68)	(8,123.02)	(2,531.43)	(10,666.34)
Less: Tax Expense	-	-	47.38	(452.81)
Loss after tax before share of profit of associate	(1,679.68)	(8,123.02)	(2,578.81)	(10,213.53)
Add: Share of profit of associate (net)	-	-	86.95	135.74
Loss for the year	(1,679.68)	(8,123.02)	(2,491.86)	(10,077.79)
Other Comprehensive (loss)/Income	46.29	(8.87)	41.84	12.30
Total Comprehensive Loss for the year	(1,633.39)	(8,131.89)	(2,450.02)	(10,065.49)

The Standalone and Consolidated Financial Statements of your Company for FY24 are prepared in compliance with the applicable provisions of the Companies Act, 2013 ("**the Act**"), Indian Accounting Standards ("**Ind AS**") and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("**SEBI Listing Regulations**").

- The revenue from operations on standalone basis for FY24 stood at ₹ 74,540.82 million as against ₹66,586.61 million for FY23, registering a growth of 11.95%. Whereas the loss for FY24 stood at ₹ 1,679.68 million as against ₹8,123.02 million for FY23, a reduction of loss by 79.32%.
- The revenue from operations on consolidated basis for FY24 stood at ₹ 81,415.38 million as against ₹72,253.01 million for FY23, registering a growth of 12.68%. Whereas the loss for FY24 stood at ₹ 2,491.86 million as against ₹10,077.79 million for FY23, a reduction of loss by 75.27%.
- The increase in revenue from operations is on account of increase in revenue from our Express Parcel, Part Truck Load ("**PTL**") services, Truck Load ("**TL**") services and other services.
- The increase in expenses is on account of increase in freight, handling and servicing costs, employee benefit expenses and other expenses attributable to the increase in revenues.

State of affairs of the Company/Business operations

As of March 31, 2024, your Company provided logistics and supply chain solutions to a diverse base of over 33,000 active customers such as e-commerce marketplaces, direct-to-consumer e-tailers and enterprises and small and medium enterprises ("**SMEs**") across several verticals such as fast-moving consumer goods ("**FMCG**"), consumer durables, consumer electronics, lifestyle, retail, automotive and manufacturing.

This is achieved through high-quality logistics infrastructure and network engineering, a vast network of domestic and global partners and significant investments in automation, all of which are orchestrated by our self-developed logistics operating system that drives network synergies within and across our services and enhances our value proposition to customers.

The key differentiators of business of your Company are:

- **Integrated solutions:** Your Company provides a full range of logistics services, including express parcel delivery, heavy goods delivery, PTL freight, TL freight, warehousing, supply chain solutions, cross-border express and freight services and supply chain software, along with value added services such as e-commerce return services, payment collection and processing and fraud detection.

- **Proprietary logistics operating system:** In-house logistics technology stack is built by your Company to meet the dynamic needs of modern supply chains. Your Company has over 80 applications through which your Company provides various services, orchestrated by the platform to govern transaction flows from end to end. The platform of your Company is designed as a set of foundational layers, libraries and Application Programming Interfaces ("**APIs**") that form the building blocks for logistics applications and provides a configurable framework and tools to enable both internal and external developers to build custom applications.
- **Data Intelligence:** Your Company collects, structures, stores and processes vast amounts of transaction and environmental data to guide real-time operational decision making. We have used machine learning extensively to build various capabilities, including intelligent geo-location, network design, route optimisation, load aggregation, Expected Time of Arrival ("**ETA**") prediction, product identification and fraud detection, which enabled us to execute operations in an efficient and precise manner.
- **Automation:** Your Company operated 29 fully and semi automated sortation centres and 111 gateways across India as of March 31, 2024. We have a Rated Automated Sort Capacity of 7.1 million shipments per day as of March 31, 2024. We have automated material handling systems at gateways in Bhiwandi (Maharashtra), Tauru (Haryana) and Bengaluru (Karnataka). Your Company has expanded the gateway infrastructure in Bhiwandi to 750,000 sq ft and is expanding to 1,000,000 sq ft in Bengaluru, which will enable your Company to service the increasing demand for its services. This automation, combined with system directed floor operations, path expectation algorithms and machine-vision guided truck loading systems, together enable the facility staff to be more productive and reduce errors in their operations.
- **Unified Infrastructure and Network:** Your Company operates a pan-India network and provides services in 18,793 postal index number ("**PIN**") codes, as of March 31, 2024. Logistics platform, data intelligence and automation of your Company enable the network to be seamlessly interoperable and allow sharing of infrastructure and operational capacity across business lines and set new service standards, such as providing e-commerce-like turnaround times to traditional part-truckload shippers on several lanes.
- **Asset-light operations:** Your Company follows an asset light model. The approach is to invest in critical service elements and IP-sensitive areas of the network, while delivering services through a large number of network partners. Network partners with warehousing, freight (truckload or air) or first/last-mile capacity can sign up and find customers via the partner applications. The systems

of your Company function as managed marketplaces that match partner capacity with its internal and third-party client demand based on partners' service quality ratings and pricing. This approach has enabled your Company to quickly expand to geographically dispersed locations, optimise loads, improve the cost structure and maintain flexibility in handling seasonal variations and changes in client requirements while incurring lower fixed costs and capital expenditures.

- **Entrepreneurial team:** The experienced team of your Company has driven service excellence and industry first innovations that have enabled your Company to gain market leadership in a short span of time. The team comes from diverse backgrounds in engineering, technology, operations, research and development ("**R&D**") and design from across industries such as technology, e-commerce, manufacturing, telecommunications, management consulting, financial services and the armed forces, among others.

Acquisitions and Investments

Pursuant to your Company's strategy to scale, during the year under review, following investments were made by the Company:

Vinculum Solutions Private Limited ("**Vinculum**")

Your Company acquired 10.94% stake in the equity share capital of Vinculum in India for a consideration of ₹250 million in July 2023. Vinculum is one of the early software companies from India, enabling brands to tap into the opportunity presented by eCommerce and Omni Channel. In response to the industry and consumer shifts post the pandemic, Vinculum has scaled up into a leading SaaS Omni Channel software company working with over 400 brands across Grocery & FMCG, Healthcare, Beauty, Cosmetics, Fashion, and Jewelry in India, South East Asia, and the Middle East markets.

Falcon Autotech Private Limited ("**Falcon**")

Your Company increased its stake in Falcon to 39.34% (on a fully diluted basis) by further investing ₹500.40 million. Falcon is an associate company of Delhivery and is engaged in the business of designing, manufacturing, supplying, implementing, and maintaining logistics automation systems in India.

Scheme of Arrangement

During FY24, a Scheme of Amalgamation ("**Scheme**") for merger of Spoton Logistics Private Limited (Wholly Owned Subsidiary of the Company) and Spoton Supply Chain Solutions Private Limited (Wholly Owned Subsidiary of Spoton Logistics Private Limited), into and with Delhivery Limited, pursuant to Sections 230 to 232 of the Act, was approved by the Board. The application of merger was filed with National Company Law Tribunal ("**NCLT**") on March 30, 2024.



Management Discussion and Analysis (Contd.)

(₹ in Million)

Particulars	March 31, 2024	March 31, 2023	Remarks
EBITDA	1,266.41	(4,516.08)	
Add: Share-based payment expenses	2,260.37	2,891.41	Accounting expenses towards ESOPs and SARs already granted
Add: IPO expenses	-	164.77	IPO related non-operating expenses
Less: Actual lease rent paid	2,768.93	2,578.76	Actual cash rent paid on leased properties recognised under Ind AS 116
Adjusted EBITDA	757.86	(4,038.66)	
Adjusted EBITDA margin	0.93%	(5.59%)	

Note: Excluding share of profit/(loss) of associates

Our EBITDA and adjusted EBITDA increased significantly during FY24 over FY23 primarily due to robust growth in revenues from express parcel, PTL and TL services, better network utilisation, improvement in profitability of supply chain services and the continuous cost optimisation measures adopted throughout the year.

Key financial ratios

Key financial ratios for the current and previous financial year are provided below:

	March 31, 2024	March 31, 2023	Remarks
EBITDA margin	1.56%	(6.25%)	EBITDA margin measures a company's operating profit as a percentage of revenue from customers. Our EBITDA margin expanded by 781 bps from FY23 to FY24 due to (i) robust growth in revenues from express parcel, PTL and TL services, (ii) better network utilisation, (iii) improvement in profitability of supply chain services, and (iv) the continuous cost optimisation measures adopted throughout the year.
Net profit margin	(2.90%)	(13.38%)	Net profit margin measures a company's net profit as a percentage of its total income. Our net profit margin increased by 1,048 bps in FY24 primarily on account of (i) improvement in operating margins, (ii) reduction in depreciation and amortisation expense, and (iii) increase in other income.
Debt-equity ratio	0.01	0.02	Debt-equity ratio measures a company's financial leverage, calculated as division of total borrowings by total shareholders' equity. Our debt-equity ratio improved in FY24 on account of reduction in availed banking facilities during FY24.
Receivables turnover ⁽¹⁾	5.31	4.45	Receivables turnover measures a company's effectiveness in collecting receivables from its customers and is calculated by dividing total revenue by average trade receivables. The receivables turnover ratio improved during FY24 due to significant measures taken by us to improve billing and collections across our businesses.
Current ratio	4.42	5.33	The current ratio measures a company's ability to meet its short-term obligations and is calculated by dividing current assets by current liabilities. Our current ratio decreased during FY24 due to a 14.55% reduction in current assets due to a reduction in trade receivables, other financial assets, and other bank balances and a 3.16% increase in current liabilities due to an increase in lease liabilities, trade payables and other financial liabilities.
Return on network	(2.72%)	(13.32%)	Return on network measures a company's profitability and is calculated by dividing profit after tax by average shareholders' equity. The improvement in return on network from FY23 to FY24 was primarily due to an improvement in profit after tax. Profit after tax increased by ₹7,585.93 million from ₹(10,077.79) million in FY23 to ₹(2,491.86) in FY24.
Inventory turnover ratio	n/a	n/a	The inventory turnover ratio measures a company's effectiveness in converting its inventory into sales and is calculated by dividing total revenue by average inventory. Since we are a service company and do not manufacture goods for sale, our inventory comprises items for internal consumption only. It is not raw materials inventory for production or finished goods inventory for sale. Therefore, and the inventory turnover ratio does not apply to us.
Interest coverage ratio	1.43	n/a	The interest coverage ratio measures a company's ability to meet its interest obligations on its outstanding debt from its earnings before interest, tax, depreciation and amortisation (EBITDA) and is calculated by dividing EBITDA by interest expense. We had an EBITDA loss for FY23 and therefore the interest coverage ratio is not meaningful for FY23.

¹ Including unbilled receivables

Capital expenditure

We operate an asset-light business model wherein we extend our logistics services by enabling network partners such as fleet owners, franchisees, retail partners and delivery agents to provide us access to their physical assets and resources such as infrastructure and fleet. Therefore, we do not incur any capital expenditure towards owning real estate and own only a part of the fleet that is deployed in our network. Our capital expenditure is towards investing in fit-out infrastructure, state-of-the-art automation and IT assets and tractor-trailers. Automation includes parcel sorter systems, bag sortation systems, conveyance systems and future-ready technologies such as AGVs, ASRS and UAV. Such investments enable us to achieve further speed, efficiency and precision in our operations. During FY24, we capitalised ₹6,014.07 million of property, plant and equipment and intangible assets excluding any disposals. Capital work in progress was ₹285.59 million, and intangible assets under development were ₹0.26 million at the end of FY24.

Some of the major capital expenditure projects we undertook during FY24 include:

- Commissioned the new gateway - at Lonad, Bhiwandi in Maharashtra, which is our largest mega-gateway, spread across 1.2 million square feet.
- Expanded the gateway in Medchal, Hyderabad increasing its processing capacity from 40,000 bags per day to 1.4 lakhs bags per day.
- Deployed 150 additional tractors (46-ft) to further increase the share of tractor-trailer capacity in our linehaul network.

We funded the capital expenditure mainly through internal accruals and available cash.

Inorganic investments

We intend to do selective investments, acquisitions and other strategic initiatives within and outside India, which complement our product and service offerings, enable us to build new capabilities, strengthen or establish our presence in our target markets, and allow us to access technology.

During FY24, we undertook the following acquisitions and investments:

- We acquired a minority stake in Vinculum Solutions Private Limited for a consideration of ₹250 million in July 2023 to scale up our SaaS offerings for our D2C customers.
- We have increased our stake in Falcon Autotech Private Limited by 4.79% for a consideration of ₹500.40 million, thereby taking our overall stake in Falcon to 39.34% on a fully dilutive basis. Falcon is engaged in the business of designing, manufacturing, supplying, implementing and maintaining warehouse automation systems in India.

Liquidity

We continue to remain extremely well capitalised, which we believe, is a significant competitive advantage in a high-growth logistics market like India. As of the end of FY24, we had cash of ₹54,438.67 million, which included cash and cash equivalents, bank balances, investments, margin money deposits, and deposits with original maturity of >12 months. A significant portion of our cash is invested in low-risk treasury investments such as fixed deposits, debt mutual funds, debentures and bonds. We will continue to deploy cash for organic and inorganic growth in our business.

Borrowings

We have borrowed from financial institutions to purchase vehicles for our working capital requirements and general corporate purposes. As of the end of FY24, we had outstanding borrowings of ₹1,255.98 million. Our debt-equity ratio was 0.01.

Corporate social responsibility

We undertook CSR activities voluntarily during FY24, though we were not required to spend any amount on CSR activities during FY24, given the absence of profits during the three immediately preceding financial years. We contributed ₹10 million towards Olympic Gold Quest, an initiative under the Foundation for Promotion of Sports and Games. Additionally, we contributed ₹0.35 million towards facilitating training and participation of undergraduate students in squash. We contributed ₹1.56 million to 25 female students from low-income households towards their preparation for engineering and medical entrance examinations to undergraduate courses and ₹0.93 million towards preventive healthcare. Refer to Annexure-4 of the Director's Report for more details on our Company's CSR activities.

Risks/threats to the industry and our business

The logistics industry, including Delhivery, faces numerous risks that can impact our business in various ways:

- 1 Political, macroeconomic and demographic changes could adversely affect India's economic conditions, thus impacting the logistics industry. Since we derive most of our revenue from contracts with customers in India, such risks may impact our earnings.
- 2 Although we continue to diversify our customer base, e-commerce customers contribute significantly to our volume and revenue. Accordingly, our business growth is related to e-commerce and, more generally, commerce in India. Due to the nature of the industry, a significant portion of our business is driven by a few large customers across multiple services they obtain from us. Their future actions, including decisions related to their strategy on outsourcing their platform volumes to logistics partners, may adversely impact our business.